



AWS Response to Michigan Department of Technology, Management and Budget Cloud Services Request for Proposal Schedule B – Pricing

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AWS is pleased to submit the attached package for your review. AWS has provided answers based on its current knowledge, but these answers may change due to a variety of factors, including changes in your requirements, the capabilities of any third party selected to assist with implementation, and changes to AWS service offerings. Unless required by law, Customer agrees not to disclose the contents of this document that AWS has identified as subject to Confidential Treatment. The areas of the document subject to Confidential Treatment is indicated on the Confidential Treatment Form included in this submission. Where Customer is requested to disclose contents of this document by law, Customer will provide AWS with written notice and an opportunity to review and seek redactions or otherwise prevent disclosure of the information to the maximum extent permitted by law. This package may include a set of suggested solutions for this opportunity. These solutions are potential suggestions for your evaluation based on our limited understanding of Customer's requirements. The responsibilities and liabilities of AWS to its customers are controlled by AWS agreements, and this document is not part of, nor does it modify, any agreement between AWS and its customers. For current prices for AWS services, please refer to the AWS website at www.aws.amazon.com.





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SCHEDULE B – PRICING

Bidder is encouraged provide a percentage discount off list pricing for all offerings requested under this solicitation.

BIDDER RESPONSE:

Amazon Web Services, Inc. (AWS) plans to engage in a collaboration with the State of Michigan (the State) that will expand the cloud solutions available to your customers statewide. This response outlines our list price discount for the State, explains the benefits of our pricing approach, and addresses the additional pricing terms in this attachment.

DISCOUNTS

Customers who make annual minimum commitments in AWS spend may be eligible for an AWS Cross-Service Discount (CSD) Private Pricing Agreement (PPA). Our percentage-based discount rates are defined in the agreement terms and apply to all public pricing changes that take effect during the term. The discount applies to all eligible AWS spend under the PPA throughout the year, without monthly service limits. Multi-year PPAs typically offer larger discounts than one-year PPAs for customers who commit to AWS long-term. [Table 2](#) includes the State's available discounts for a 5-year commitment.

To qualify for a CSD of 8.5% (as demonstrated in [Table 2](#)), the State must commit to a 5-year term, with annual commitments of \$1M in Year 1 and \$1.3M in Year 2. The CSD increases to 10% in Year 3 with an annual commitment of \$1.69M. The State can qualify for a 10.5% discount in Year 4 with an annual commitment of \$2.197M and 11% discount in Year 5 with an annual commitment of \$2.856M. This yields a total commitment of \$9,043,000. Increasing annual spend and contract duration commitments may result in additional discounts.

Table 2. AWS Cross-Service Private Pricing Program

Commitment Term	Commitment Dollars	Discount
Year 1 Commitment	\$1,000,000.00	8.5%
Year 2 Commitment	\$1,300,000.00	8.5%
Year 3 Commitment	\$1,690,000.00	10.0%
Year 4 Commitment	\$2,197,000.00	10.5%
Year 5 Commitment	\$2,856,000.00	11.0%
Total 5-Year Commitment	\$9,043,000.00	

AWS Cross-Service Private Pricing Program discounts apply to all services except those deemed ineligible. View ineligible services at <https://ineligibleserviceslist.s3.amazonaws.com/s3.amazonaws.com/Ineligible+Services.pdf>.

Final PPA discounts can be negotiated through a standalone agreement. Upon execution of a PPA, the State will be eligible to receive the discounts established in the agreement. We recommend working with your dedicated Account Team to analyze your long-term cloud needs and establish a spend commitment that maximizes the State's cost savings.





AWS PRICING APPROACH

AWS charges only for the individual services you actually use, with no upfront costs or long-term commitments (you “pay as you go”). We minimize costs for all customers by reducing data center hardware costs, improving operational efficiencies, and lowering power consumption. AWS has a history of continually lowering prices—we have reduced prices 134 times since we launched in 2006. Our Commercial Price List at <https://aws.amazon.com/pricing> includes pricing for all the goods and services sought by the State.

AWS provides no-cost publicly available pricing tools. You can use the [AWS Pricing Calculator](#) to explore AWS services based on your use cases and create a customized cost estimate. This calculator lets you model your solutions before building them, explore the price calculations behind your estimate, and find available instance types and contract terms that meet your needs. It helps you make more informed decisions when using the AWS Cloud. You can use the AWS Pricing Calculator to estimate your AWS costs and usage or price new instance or service configurations. The calculator is publicly available at no cost and includes estimated pricing details only. Please reference our Commercial Price List for the most up to date pricing details.

The State can use AWS services, tools, and resources to track cost and usage, strengthen control through consolidated billing and access permissions, plan with budgets and forecasts, and reduce costs through resource and pricing optimizations. Our pricing approach extends the following benefits to the State:

Alignment of Cost and Value. You will only pay for the individual services you use, without long-term contracts or complex licensing. Cloud computing reduces your variable costs through economies of scale (aggregating usage from thousands of customers so we can offer lower pay-as-you-go prices).

Transparency and Predictability. AWS tools help you track spend across multiple accounts and give you more visibility into overall enterprise costs in real time.

Flexibility. AWS eliminates infrastructure capacity guesswork. You can access the exact capacity as you need and scale your resources up and down within minutes.

COST OPTIMIZATION

AWS helps you control costs and optimize spend as you build modern, scalable applications that meet your needs. Our breadth of services and pricing options help you manage costs while retaining performance and capacity. AWS is dedicated to helping the State maximize cost savings and optimize your infrastructure costs.

AWS PRICING MODELS

We price our services independently and transparently, providing you with flexibility to choose what you need based on your requirements. Pricing models differ across services, so you should understand how to apply the recommended practices for your chosen services. We offer several pricing models, including On-Demand, Reserved Instances (RIs), Spot Instances, and Savings Plans. Customers save more with increased usage and capacity reservations.





Savings Plans are flexible pricing models that reduce costs up to 72% compared to On-Demand pricing when you make a one- or three-year commitment. Like Amazon Elastic Compute Cloud (Amazon EC2) RIs, Savings Plans cut costs through long-term commitments to compute resources. You can manage your plans by reviewing recommendations, performance reporting, and budget alerts in AWS Cost Explorer.

Reserved Instances (RIs) are automatic billing discounts that allow you to save up to 75% over equivalent new or existing On-Demand Instance capacity. You can invest in reserved capacity for services like Amazon EC2 and Amazon Relational Database Service (Amazon RDS) in exchange for committing to a one- or three-year term of service usage. Choose from three RI payment options (No Upfront, Partial Upfront, and All Upfront) to optimize your balance between initial costs and hourly rates.

Spot Instances let you take advantage of unused EC2 capacity in the AWS Cloud with up to a 90% discount off On-Demand pricing. This is a cost-effective choice if you can be flexible about when your applications run and if they can be interrupted.

NO-COST TOOLS

AWS offers no-cost services and tooling to help the State control costs while innovating at scale. These include EC2 Auto Scaling, Amazon Simple Storage Service (Amazon S3) Intelligent-Tiering, AWS Trusted Advisor, and AWS Cost Explorer. Customers who spend over \$1M annually have access to expert support from the AWS Cloud Economics team. [Table 3](#) includes a list of no-cost tools that deliver additional value to the State.

Table 3. No-Cost Tools and Features

Service	Description of Service	Value to the State
EC2 Auto Scaling	Automatically adds or removes EC2 instances according to user-defined conditions	• Improve fault tolerance • Increase application availability • Lower costs
AWS Auto Scaling	Monitors applications and automatically adjusts capacity to maintain steady, predictable performance at the lowest possible cost	• Scale quickly • Make smart scaling decisions • Automatically maintain performance • Pay only for what is needed
AWS CloudFormation	Accelerates cloud provisioning with infrastructure as code	• Automate best practices • Scale infrastructure • Integrate with other AWS services • Manage third-party and private resources • Use for free for specified namespaces detailed at https://aws.amazon.com/cloudformation/pricing/





AWS Command Line Interface (AWS CLI)	Manages AWS services through a unified tool	• Manage resources from the command line • Produce repeatable scripts and documentation
AWS Elastic Beanstalk	Deploys and scales web applications and services developed with Java, .NET, PHP, Node.js, Python, Ruby, Go, and Docker on familiar servers such as Apache, Nginx, Passenger, and IIS	• Automatically handle the deployment details of capacity provisioning, load balancing, automatic scaling, and application health monitoring • Save valuable developer time • Handle peaks in workload or traffic while minimizing cost and maintaining resource control
IAM	Securely manages access to AWS services and resources	• Maintain fine-grained access control to AWS resources • Implement multi-factor authentication for highly privileged users • Analyze access • Integrate with existing directories
AWS License Manager	Sets rules to manage, discover, and report software license usage	• Gain control over license usage • Get a centralized view of license usage so administrators can determine the right number of licenses required and not purchase more than needed • Give administrators the ability to set limits for license usage
AWS Management Console	Allows access and management of the AWS Cloud in one web interface	• Securely log in using AWS or AWS Identity and Access Management (IAM) account credentials • Offer browser and mobile application • Provide easy search and navigation • Gain access to tutorials, documentation, on-demand webinars, and more
AWS Marketplace	Offers thousands of software listings from independent software vendors in a digital catalog so you can find, test, purchase, and deploy software that runs on the AWS Cloud	• Gain software procurement options to enable innovation





AWS Organizations	Centrally manages and governs environments as AWS resources scale	• Manage costs and optimize usage • Quickly scale workloads • Provide custom environments for different workloads • Centrally secure and audit environments across accounts • Gain simple permission management and access control • Efficiently provision resources across accounts
AWS Private Marketplace	Creates a customized, private catalog of pre-approved products from AWS Marketplace	• Limit users only to products that comply with the State's policies
AWS Security Token Service (STS)	Requests temporary, limited-privilege credentials for IAM users or users authenticated by the State (federated users)	• Gain additional flexibility in user management
AWS Pricing Calculator	Estimates monthly AWS bill through a web tool	• Gain additional options for cost management
AWS Cost Explorer API	Programmatically queries cost and usage data	• Use one simple tool for cost management and optimization
AWS Price List API	Queries for prices of AWS services using either JSON (with the Price List Service API) or HTML (with the AWS Price List API)	• Instantly obtain prices of AWS services
AWS Resource Access Manager (RAM)	Securely shares AWS resources with any AWS account or within your AWS Organization including AWS Transit Gateways, subnets, AWS License Manager configurations, and Amazon Route 53 Resolver rules resources	• Reduce operational overhead, improve security and visibility, and optimize costs
Resource Groups in AWS Systems Manager	Organizes AWS resources	• Manage, monitor, and automate tasks on large numbers of resources at one time
VM Import/Export	Import virtual machine (VM) images from existing environments to EC2 instances	• Use existing VM investments to meet IT security, configuration management, and compliance requirements





	and exports them back to on-premises environments	• Export imported instances back to on-premises virtualization infrastructure to deploy workloads across the IT infrastructure
AWS Cloud Economics Support	Support for customers with greater than \$1M in annual spend—experts help assess cost optimization opportunities, perform value realization studies, and recommend financial management activities	• Determine cloud optimization based on customized needs
AWS Cloud9	Allows you to write, run, debug code with a browser through a cloud-based integrated development environment (IDE)	• Enable real-time, collaborative coding to launch projects quickly
AWS SDKs	Takes the complexity out of coding by providing language-specific APIs for AWS services	• Expedite application development
AWS Cloud Development Kit (CDK)	Defines your cloud application resources using familiar programming languages with an open-source software development framework	• Build cloud applications (without expert-level guidance) using preconfigured cloud resources with proven defaults
AWS Deep Learning Amazon Machine Image (AMI)	Provides infrastructure and tools to accelerate deep learning in the cloud at any scale	• Define models and train them at scale
AWS Shield Standard	Provides a managed distributed denial of service (DDoS) protection service	• Defend against common network and transport layer DDoS attacks that target your website or applications • Minimize down time and latency
AWS Personal Health Dashboard	Provides a personalized view into the performance and availability of the AWS services underlying your AWS resources	• Receive alerts and remediation guidance to minimize service event impacts
AWS Service Health Dashboard	Shows current information on AWS service availability	• Receive real-time notifications of service interruption to expedite mitigation activities

Beyond our pricing models and cost optimization tools, AWS offers program savings opportunities, such as the **AWS Migration Acceleration Program (MAP)**. MAP combines an outcome-driven methodology with AWS investments in the form of service credits or partner investments to offset





one-time migration expenses. Additional information about AWS MAP can be found in *Schedule H – Transition In and Out Plan*.

BILLING AND INVOICING

AWS helps customers track cost and usage data; maintain control through consolidated billing and access permissions; and plan with budgets and forecasts. We generate billing reports with cost breakdowns by (1) hour, day, or month; (2) each account in your organization; (3) product or product resource; or (4) your defined tags. AWS billing solutions and services include:

- **AWS Cost and Usage Report:** Shows estimated charges associated with your AWS account, listing each unique combination of AWS product, usage type, and operation used by your AWS account.
- **AWS Budgets:** Tracks your AWS spending against your set budgets and displays your current usage, estimated charges, and projected month-end costs.
- **AWS CloudWatch:** Monitors your AWS environments and sends **billing alerts when your usage exceeds your defined thresholds. You can also sign up to receive notifications on AWS price changes.**

Our service model sometimes prevents us from accepting certain contract requirements, terms, or conditions. We list our written exceptions to the additional pricing terms below, in accordance with Section 8 Evaluation Process.

Additional Pricing Terms

The Contractor is encouraged to offer quick payment terms. The number of days must not include processing time for payment to be received by the Contractor's financial institution.

Quick payment terms: 0 % discount off invoice if paid within n/a days after receipt of invoice.

If Contractor reduces its standard commercial prices, ~~or offers a lower price to any other entity, private or public,~~ for any of the Solution during the term of this Contract, the State shall have the immediate benefit of such lower prices for new purchases. The State may sign up to receive notifications when AWS prices change. ~~Contractor shall send notice to the State's Contract Administrator with the reduced prices within fifteen (15) Business Days of the reduction taking effect.~~

Invoice Requirements

All invoices submitted to the State must include: (a) date; (b) purchase order or delivery order; ~~(c) quantity; (d) description of the Solution; (e) unit price; (f)~~ shipping cost (if any); ~~(dg)~~ Contractor-generated invoice number and ~~(gh)~~ total price.

Travel and Expenses

The State does not pay for overtime. ~~Any or~~ travel expenses will be agreed by both parties in advance in writing.

Commented [A1]: It is not commercially practical for AWS to provide customized notice of changes to our standard commercial pricing as this would lead to increased administrative and operational costs as we operate at scale across our customers.

However, Customers can sign up to receive notifications when AWS prices change, such as when AWS lowers prices, when new instance types are launched, or when new services are introduced. You can sign up to be notified every time a price changes or once a day. If you sign up to be notified once a day, the notification includes all price changes applied during that day. You can use the AWS Management Console to sign up for [Amazon Simple Notification Service \(SNS\)](#) notifications.

By automating price notifications, we reduce administrative overhead which allows us to keep costs low and pass savings on to all customers.

Commented [A2]: AWS proposes the following changes to "Invoice Requirements." Quantity, unit price, and description of the Solution are not provided in standard AWS invoices. However, customers may view this information and a breakdown of their monthly spending by accessing the [AWS Management Console](#).